

Section C – BOTH questions are compulsory and MUST be attempted

Please write your answers to all parts of these questions on the lined pages within the Candidate Answer Booklet.

- 31 Funject Co has identified Aspect Co as a possible acquisition within the same industry. Aspect Co is currently owned by the Gamilton Group and the following are extracts from the financial statements of Aspect Co:

Extract from the statement of profit or loss for the year ended 31 December 20X4

|                    | \$'000        |
|--------------------|---------------|
| Revenue            | 54,200        |
| Cost of sales      | <u>21,500</u> |
| Gross profit       | 32,700        |
| Operating expenses | <u>11,700</u> |
| Operating profit   | <u>21,000</u> |

Statement of financial position as at 31 December 20X4

|                              | \$'000       | \$'000        |
|------------------------------|--------------|---------------|
| Assets                       |              |               |
| Non-current assets           |              | 24,400        |
| Current assets               |              |               |
| Inventory                    | 4,900        |               |
| Receivables                  | 5,700        |               |
| Cash at bank                 | <u>2,300</u> | 12,900        |
| Total assets                 |              | <u>37,300</u> |
| Equity and liabilities       |              |               |
| Equity                       |              |               |
| Equity shares                |              | 1,000         |
| Retained earnings            |              | <u>8,000</u>  |
|                              |              | 9,000         |
| Liabilities                  |              |               |
| Non-current liabilities      |              |               |
| Loan                         |              | 16,700        |
| Current liabilities          |              |               |
| Trade payables               | 5,400        |               |
| Current tax payable          | <u>6,200</u> | 11,600        |
| Total equity and liabilities |              | <u>37,300</u> |

Additional information:

- (i) On 1 April 20X4, Aspect Co decided to focus on its core business and so disposed of a non-core division. The disposal generated a loss of \$1.5m which is included within operating expenses. The following extracts show the results of the non-core division for the period prior to disposal which were included in Aspect Co's results for 20X4:

|                    | \$'000         |
|--------------------|----------------|
| Revenue            | 2,100          |
| Cost of sales      | <u>(1,200)</u> |
| Gross profit       | 900            |
| Operating expenses | <u>(700)</u>   |
| Operating profit   | <u>200</u>     |

- (ii) At present Aspect Co pays a management charge of 1% of revenue to the Gamilton Group which is included in operating expenses. Funject Co imposes a management charge of 10% of gross profit on all of its subsidiaries.
- (iii) Aspect Co's administration offices are currently located within a building owned by the Gamilton Group. If Aspect Co were acquired, the company would need to seek alternative premises. Aspect Co paid rent of \$46,000 in 20X4. Commercial rents for equivalent office space would cost \$120,000.
- (iv) The following is a list of comparable industry average key performance indicators (KPIs) for 20X4:

|                               | KPI     |
|-------------------------------|---------|
| Gross profit margin           | 45%     |
| Operating profit margin       | 28%     |
| Receivables collection period | 41 days |
| Current ratio                 | 1.6:1   |
| Acid test (quick) ratio       | 1.4:1   |
| Gearing (debt/equity)         | 240%    |

Required:

- (a) Redraft Aspect Co's statement of profit or loss for 20X4 to adjust for the disposal of the non-core division in note (i) and the management and rent charges which would be imposed per notes (ii) and (iii) if Aspect Co was acquired by Funject Co. (5 marks)
- (b) Calculate the 20X4 ratios for Aspect Co equivalent to those shown in note (iv) based on the restated financial information calculated in part (a).  
Note: You should assume that any increase or decrease in profit as a result of your adjustments in part (a) will also increase or decrease cash. (5 marks)
- (c) Using the ratios calculated in part (b), comment on Aspect Co's 20X4 performance and financial position compared to the industry average KPIs provided in note (iv). (10 marks)

(20 marks)